



NCBA CHANGE REQUEST DOCUMENT

CREDIT LIMITS DECENTRALIZATION APPROVALS

CR114/26

RETAIL BANKING

RETAIL PRODUCTS

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ON 3/17/2026 8:59 AM

CHANGE BACKGROUND

Retail and SME customers increasingly expect fast, personalized credit decisions, particularly for emergency financing and working capital needs. The centralized approval process has become a bottleneck, leading to delayed access to credit and customer dissatisfaction.

Additionally, the digital credit scorecard, while effective for standardized income profiles, has inherent limitations in assessing customers with irregular income or fluctuating deposits, despite evidence of stable and recurring cash flows. As a result, potentially credit worthy customers are declined, constraining growth in low risk segments.

To remain competitive and responsive, there is a need to modernize the credit delivery model, particularly for low value loans, by shifting decision making closer to the customer while maintaining strong governance and oversight.

Products In Scope:

All Unsecured short-term facilities with limit $\leq$ Kes 5M

- Personal Unsecured Loans (tenure $\leq$ 24months) • Unsecured Business Loans
- Salary advances • Unsecured Business Trip loan
- Cash covered personal loan • Agribusiness Scheme loan
- Cash covered business loans • Beef fattening loan

Out of Scope:

a) Long term facilities exceeding 24 months

- Personal Secured Loan • Personal Unsecured Scheme loans
- Personal Unsecured Non-Scheme • Easy Build
- Buy and Build • Mortgage Buy-outs
- Secured business loan • Property finance
- Equity release • Construction loans/finance
- Plot purchase loan • Auto Equity loan
- Directors Mortgage • Affordable Housing
- Agency/Dealer financing • Invoice/Certificate Financing
- Contract / LPO financing • School loans
- Medical Doctors/ Hospital loans • Asset Finance
- Loans Secured by Shares • Insurance Premium Financing

b) Loans outside approved Product Guidelines. (see (a) above)

c) Any ex policy applications (to continue through standard Credit Risk approval) i.e. applications that do not meet the defined risk acceptance criteria or incomplete documentation.

SCOPE AND EXPECTED OUTPUT

Decentralized approval of Consumer, Affluent, and CSME short and medium term loans: (Specify the products which will be affected)

- o Maximum loan amount: KES 5,000,000

- o Maximum tenor: 24 months

Establishment of Branch Credit Approval Committees.

Delegated approval limits to Branch Managers and Regional General Managers who will be the approvers of the loan facilities.

Portfolio monitoring, reporting, and risk trigger framework.

Mandatory training, certification, and compliance requirements.

OPTIONS CONSIDERED

Option #1: Do Nothing

Description	Maintain Status Quo
Impact	There will be no way of identifying and prioritizing loan applications to be approved at the Branch
Option Benefits/Dis-benefits	☐ Poor turnaround time/ delayed credit decisioning (approval/decline)
Costs	None
Time	Nil

Option #2: <Do Something>

Description	Create straight through process (STP) for applications with low value and shorter tenure to be approved at the Branch as per delegated authority
Impact	Faster processing of loan applications that will positively impact the customer experience
Option Benefits/Dis-benefits	1. Faster turnaround time - Improved customer experience 2. Improved customer satisfaction and retention 3. Higher loan uptake - Growth in loan book within low risk, short-tenor segments 4. Improves the bank's competitive position in the market and is expected to attract customers from other banks (improved operational efficiency)
Costs	Estimated at between Kes 2M and Kes 3M
Time	Within 2 weeks

Option #3: <Do Something Else>

Description	None
Impact	Nil
Option Benefits/Dis-benefits	None

Costs	N/A
Time	Nil

CHOSEN OPTION FOR THIS PROJECT

Chosen Option	Option 2 - Do Something
Reason	Enhance the existing workflow to support decentralization of credit approval authority to branches for short-term loan facilities of up to KES 5 million (maximum tenor of 24 months), aimed at improving customer experience through faster processing of low-value loan applications.

BENEFITS EXPECTED

Financial Benefits

Benefits	Indicator	Before CR	After CR	Comment	Timeline
Gross Loans and Advances	Growth of loan book	0	Kes 500Mn	High loan uptake due to increased efficiency in loan approvals (shorter TAT)	1 month
Interest Income	Increased Revenue (due to increase in loan uptake)	0	Kes 75M	Increased Revenue from high loan sales volumes	1 month
Number of Customers	Attract new to bank customers	0	200 per year	Attract customers from other banks (improved operational efficiency)	1 month

Non Financial Benefits

Benefits	Indicator	Before CR	After CR	Comment	Timeline
TAT	Number of days for credit approval	3 days	1 day	Delegated approval at the branch will shorten the TAT	1 month
Customer Retention	Repeat borrowings	Untracked	at least 90%	Improved operational efficiency &	1 month

Benefits	Indicator	Before CR	After CR	Comment	Timeline
				customer experience	

IMPACT

People	Relationship Managers/Assistant Relationship Managers/Relationship Officers and Branch Managers/Regional Branch Managers will be trained on processing of applications on the “Approved at Branch” loan applications.
Process	Minor changes on the credit approval processes for both Consumer and CSME loan applications. Worksteps to be condensed/functions to be remapped (i.e. credit analysis and credit approvals)
System	IBPS
Other Systems	None

KEY RISKS

Risk	Risk Impact	Risk Description	Mitigants
Resource Risk	High	Lack of proper training and certification of the final approver	Mandatory training and certification, Segregation of duties, Continuous monitoring and submission of monthly reports to Management

PROJECTED COST AND TIME

	Best Case	Worst Case
TOTAL COST Estimated to Project Completion	KES 1000000	KES 3000000
TOTAL TIME Estimated to Project Completion	1 Week(s)	4 Week(s)

ATTACHED DOCUMENTS

Attachment Name	Link
CR-Credit Limits Decentralization Approvals.docx	View document

APPROVALS

Name	Role	Decision	Date
Michael O. Owino	CR Owner	Submitted	20/04/2026 16:27

Linda Kameme	Head, Retail Banking Products	Approved	17/03/2026 13:49
Jane Nganga	Head of Branch Business	Approved	16/04/2026 09:29
Rahab W. Mwangi	Business Process Architect	Approved	28/04/2026 14:10
Lillian N. Muchiri	Business Process Lead Architect	Pending	-
Brian Awori	IT Project Manager	Pending	-
Joel A Salano	Portfolio Manager, Business Support	Pending	-
Joseph Otieno	Business Process Management Specialist	Pending	-
Paul M. Kamau	Head, IT Enterprise Applications	Pending	-